

|                                                                                   |       |         |         |             |         |         |         |         |         |
|-----------------------------------------------------------------------------------|-------|---------|---------|-------------|---------|---------|---------|---------|---------|
|  |       |         |         |             |         |         |         |         |         |
| McDonalds Corp                                                                    |       |         |         |             |         |         |         |         |         |
| MCD                                                                               |       |         |         |             |         |         |         |         |         |
| Discounted Cash flow Analysis                                                     |       |         |         |             |         |         |         |         |         |
|                                                                                   |       |         |         | 1           | 2       | 3       | 4       | 5       |         |
| DCF Analysis                                                                      |       |         |         | Projections |         |         |         |         |         |
| Amounts in millions                                                               | Units | FY2023A | FY2024A | FY2025A     | FY2026E | FY2027E | FY2028E | FY2029E | FY2030E |
| Revenue                                                                           | \$m   | 25,494  | 25,920  | 26,885      | 27,557  | 28,246  | 28,952  | 29,676  | 30,418  |
| % of Revenue growth                                                               |       | 10.00%  | 1.67%   | 3.72%       | 2.50%   | 2.50%   | 2.50%   | 2.50%   | 2.50%   |
| EBIT                                                                              |       | 11,647  | 11,712  | 12,392      | 12,581  | 12,893  | 13,259  | 13,561  | 13,905  |
| EBIT margin                                                                       |       | 45.69%  | 45.19%  | 46.09%      | 45.65%  | 45.64%  | 45.80%  | 45.70%  | 45.71%  |
| Taxes                                                                             |       | (2,053) | (2,121) | (2,334)     | (2,313) | (2,364) | (2,433) | (2,490) | (2,551) |
| % of EBIT                                                                         |       | -17.63% | -18.11% | -18.83%     | -18.39% | -18.34% | -18.35% | -18.36% | -18.35% |
| EBIAT                                                                             |       | 13,700  | 13,833  | 14,726      | 14,894  | 15,257  | 15,692  | 16,051  | 16,456  |
| Depreciation & Amortization                                                       |       | 1,978   | 2,097   | 2,199       | 2,207   | 2,291   | 2,377   | 2,466   | 2,558   |
| % of Revenue                                                                      |       | 7.76%   | 8.09%   | 8.18%       | 8.01%   | 8.11%   | 8.21%   | 8.31%   | 8.41%   |
| Capital Expenditure                                                               |       | (2,357) | (2,775) | (3,365)     | (3,700) | (4,000) | (4,300) | (4,600) | (4,900) |
| % of Revenue                                                                      |       |         |         |             | -13.43% | -14.16% | -14.85% | -15.50% | -16.11% |
|                                                                                   |       | FY2023A | FY2024A | FY2025A     | FY2026E | FY2027E | FY2028E | FY2029E | FY2030E |
| Net Working Capital                                                               |       | 1,438   | 1,410   | 1,378       | 1,409   | 1,399   | 1,395   | 1,401   | 1,398   |
| Changes in Net Working Capital                                                    |       | -       | (28)    | (32)        | 31      | (10)    | (4)     | 6       | (3)     |
| Unlevered Free Cash Flow                                                          |       |         |         |             | 13,432  | 13,537  | 13,765  | 13,923  | 14,112  |
| Discounting Factor                                                                |       |         |         |             | 0.942   | 0.887   | 0.835   | 0.786   | 0.740   |
| Present value of Free Cash Flow                                                   |       |         |         |             | 12,649  | 12,004  | 11,494  | 10,947  | 10,448  |

| WACC                                |         |        | Terminal Value                     |          |
|-------------------------------------|---------|--------|------------------------------------|----------|
| Weighted Average Cost of Capital    |         |        | Terminal Value - Perpetuity Growth |          |
| Risk free rate ( $R_f$ )            | 5.02%   |        | FY2030E Unlevered Free Cash Fl     | 14,112   |
| Equity Beta                         | 0.41    |        | Perpetuity growth rate             | 3%       |
| Equity risk premium ( $R_m - R_f$ ) | 4.45%   |        | Terminal Value                     | 454,917  |
| Cost of Equity ( $K_e$ )            | 6.84%   |        | PV of Terminal value               | 336,830  |
| Cost of debt                        | 4.40%   |        | Implied value per share            |          |
| Tax rate                            | 21.00%  |        | DCF Value - Perpetuity Growth      |          |
| After-tax Cost of Debt ( $K_{dt}$ ) | 3.48%   |        | NPV of UFCF 2026 - 2030            | 57,542   |
| Percentage of Capital               |         |        | PV of Terminal Value               | 336,830  |
| Debt                                | 39,973  | 19%    | Implied Enterprise Value           | 394,372  |
| Equity                              | 167,357 | 81%    | Less: Debt                         | (39,973) |
| Total capital                       | 207,330 | 100.0% | Add: Cash                          | 775      |
| Weighted Average Cost of Capital    | 6.20%   |        | Implied Equity Value               | 355,174  |
|                                     |         |        | Diluted shares                     | 716      |
|                                     |         |        | Implied Value Per Share            | 496      |